

5-2b Absolute Advantage

The theory of absolute advantage, advocated by Adam Smith in 1776, opened the floodgates of the free trade movement that is still going on today. Smith argued that in the aggregate, the “invisible hand” of markets, rather than governments, should determine the scale and scope of economic activities. This is known as *laissez faire* (see [Chapter 2](#)). By trying to be self-sufficient and (inefficiently) produce a wide range of goods, mercantilist policies *reduce* the wealth of a nation in the long run. Smith thus argued for [free trade \(The idea that free market forces should determine how much to trade with little or no government intervention.\)](#)

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Specifically, Smith proposed a

[theory of absolute advantage \(A theory that suggests that under free trade, a nation gains by specializing in economic activities in which it has an absolute advantage.\)](#)

: With free trade, each nation gains by specializing in economic activities in which it has absolute advantage. What is

[absolute advantage \(The economic advantage one nation enjoys that is absolutely superior to other nations.\)](#)

? It is the economic advantage one nation enjoys that is absolutely superior to other nations. For example, Smith argued that because of better soil, water, and weather, Portugal enjoyed an absolute advantage over England in the production of grapes and wines. Likewise, England had an absolute advantage over Portugal in the production of sheep and wool. England could grow grapes at a greater cost and with much lower quality—has anyone heard of any world-famous English wines? Smith suggested

- (1) that England should specialize in sheep and wool,
- (2) that Portugal should specialize in grapes and wines, and
- (3) that they should trade with each other.

Here are two of Smith’s greatest insights. First, by specializing in the production of goods for which each has an absolute advantage, both can produce more. Second, by trading, both can benefit more. By specializing, England produces more wool than it can use, and Portugal produces more wine than it can drink. When both nations trade, England gets more (and better) wine and Portugal more (and better) wool than either country could produce on its own. In other words, international trade is not a zero-sum game as suggested by mercantilism. It is a *win-win* game.

How can this be? Let us use an example with hypothetical numbers ([Figure 5.2](#) and [Table 5.2](#)). For the sake of simplicity, assume there are only two nations in the world: China and

the United States. They only perform two economic activities: growing wheat and making aircraft. Production of wheat or aircraft, naturally, requires resources such as labor, land, and technology. Assume that both are equally endowed with 800 units of resources. Between the two activities, the United States has an absolute advantage in the production of aircraft—it takes 20 resources to produce an aircraft (for which China needs 40 resources), and the total US capacity is 40 aircraft if it does not produce wheat (point D in [Figure 5.2](#)). China has an absolute advantage in the production of wheat—it takes 20 resources to produce 1,000 tons of wheat (for which the United States needs 80 resources) and the total Chinese capacity is 40,000 tons of wheat if it does not make aircraft (point A). It is important to note that the United States can grow wheat and that China can make aircraft, albeit inefficiently. Since both nations need wheat and aircraft, without trade, they produce both by spending half of their resources on each—China at point B (20,000 tons of wheat and 10 aircraft) and the United States at point C (5,000 tons of wheat and 20 aircraft). Interestingly, if they stay at points A and D, respectively, and trade one-quarter of their output with each other (10,000 tons of Chinese wheat with 10 American aircraft), these two countries, and by implication the global economy, both produce more and consume more ([Table 5.2](#)). In other words, there are *net* gains from trade based on absolute advantage.

Figure 5.2

Absolute Advantage

Table 5.2

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**Total units of resources = 800
for each country**

		Wheat	Aircraft
(1) Resources required to produce 1,000 tons of wheat and 1 aircraft.	China	20	40
		resources	resources
	US	80	20
		resources	resources
(2) Production and consumption with no specialization and without trade (each country devotes <i>half</i> of its resources to each activity).	China (point B)	20,000 tons	10 aircraft
			20 aircraft
	US (point C)	5,000 tons	30 aircraft
	<i>Total production</i>	<i>25,000 tons</i>	
(3) Production with specialization (China specializes in wheat and produces no aircraft, and the United States specializes in aircraft and produces no wheat).	China (point A)	40,000 tons	0
			40 aircraft
	US (point D)	0	40 aircraft
	<i>Total production</i>	<i>40,000 tons</i>	
(4) Consumption after each country trades one-quarter of its output while producing at points A and D, respectively (Scenario #3).	China	30,000 tons	10 aircraft
			30 aircraft
	US	10,000 tons	40 aircraft
	<i>Total consumption</i>	<i>40,000 tons</i>	
(5) <i>Gains</i> from trade: Increase in consumption as a result of specialization and trade (Scenario #4 versus #2).	China	+10,000 tons	0
			+10 aircraft
	US	+5,000 tons	

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